

spent. In other words, Facebook also had validated its growth hypothesis. These two hypotheses represent two of the most important leap-of-faith questions any new startup faces.³

At the time, I heard many people criticize Facebook's early investors, claiming that Facebook had "no business model" and only modest revenues relative to the valuation offered by its investors. They saw in Facebook a return to the excesses of the dot-com era, when companies with little revenue raised massive amounts of cash to pursue a strategy of "attracting eyeballs" and "getting big fast." Many dot-com-era startups planned to make money later by selling the eyeballs they had bought to other advertisers. In truth, those dot-com failures were little more than middlemen, effectively paying money to acquire customers' attention and then planning to resell it to others. Facebook was different, because it employed a different engine of growth. It paid nothing for customer acquisition, and its high engagement meant that it was accumulating massive amounts of customer attention every day. There was never any question that attention would be valuable to advertisers; the only question was how much they would pay.

Many entrepreneurs are attempting to build the next Facebook, yet when they try to apply the lessons of Facebook and other famous startup success stories, they quickly get confused. Is the lesson of Facebook that startups should not charge customers money in the early days? Or is it that startups should never spend money on marketing? These questions cannot be answered in the abstract; there are an almost infinite number of counterexamples for any technique. Instead, as we saw in [Part One](#), startups need to conduct experiments that help determine what techniques will work in their unique circumstances. For startups, the role of strategy is to help figure out the right questions to ask.

STRATEGY IS BASED ON ASSUMPTIONS

Every business plan begins with a set of assumptions. It lays out a strategy that takes those assumptions as a given and proceeds to